

26STCV00906 26STCV00906

County: los-angeles

Division: Civil Law and Motion

Department: 14

Hearing date: 2026-08-25

Source URL: https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=SS%20%2C14%2C08%2F25%2F2026

Source SHA-256: 30130bb5a06acd9bb4bd822e368dd98859c8dd522436954b66f7eb785812dd74

Case Number: 26STCV00906 Hearing Date: August 25, 2026 Dept: 14

SUPERIOR COURT OF THE STATE OF
CALIFORNIA

FOR THE COUNTY OF LOS ANGELES

DEPARTMENT 14

MICHAEL TERRY and LINDLEY TERRY,

Plaintiffs,

v.

3M COMPANY, et al.

Defendants.

Case No. 26STCV00906

Hearing Date: August 25, 2026

Time:

9:00 a.m.

¿ [TENTATIVE] ORDER

RE: MOTION TO APPYLY TEXAS LAW FILED BY DEFENDANTS UNION CARBIDE CORPORATION AND MONTELLO, INC.

I.

Background

On January 2, 2026, Plaintiffs Michael and Lindley Terry filed their complaint for personal injury alleging Michael Terry developed mesothelioma from direct exposure to asbestos and asbestos-containing products. Plaintiffs allege Michael Terry was exposed to asbestos-containing drilling muds in the mid- to late-1960s through the 1990s. Plaintiffs also alleges he was exposed to asbestos through the aviation and automobile maintenance industries between the 1970s and 1990s and the 1960s through the 1990s respectively. On February 17, 2026, Plaintiffs filed the operative First Amended Complaint.

On July 21, 2026, Defendants Union Carbide Corporation (“Union Carbide”) and Montello, Inc. (“Montello”) (collectively “Defendants”) moved to apply Texas law, arguing Texas law should apply to Plaintiffs’ claims against them because Texas has the predominant interest in defining the substantive parameters of Defendants’ liability. As against Union Carbide and Montello, Plaintiffs allege that Mr. Terry was exposed to a drilling mud that Union Carbide supplied asbestos fiber for and which Montello manufactured. (Compl. at pp.13, 15.)

On August 12, 2026, Plaintiffs opposed, arguing that the majority of the injury-producing conduct occurred in California.

Defendants motion to apply Texas law is granted as to Montello, Inc. The motion is denied as to Union Carbide Corporation.

II.

Discussion

A.

Legal Standard

Generally, California courts apply only the laws of this state. However, when a case involves a significant relationship to more than one state, the court selects the appropriate state law to apply to the case. (*Hurtado v. Superior Court* (1974) 11 Cal.3d 574, 579-80.) In deciding which law to apply, the court is not concerned with which state's law is the better rule of law, but, instead, which jurisdiction should be provided the lawmaking power under the circumstances of the present case. (*McCann v. Foster Wheeler LLC* (2010) 48 Cal.4th 68, 97.) "[T]he starting point in our analysis is that a California court should apply California law unless there is a reason not to." (*Chen v. L.A. Truck Centers, LLC* (2017) 7 Cal.App.5th 757, 766.)

When there is no advance agreement on the applicable law, but the action involves the significant interests of another state, the court may analyze the governmental interests of the various jurisdictions involved to select the most appropriate law. (*Washington Mutual Bank, FA v. Superior Court* (2001) 24 Cal.4th 906, 915.)

In California, choice-of-law arguments are determined by a three-part "governmental interest" analysis. "First, the court determines whether the relevant law of each of the potentially affected jurisdictions with regard to the particular issue in question is the same or different. Second, if there is a difference, the court examines each jurisdiction's interest in the application of its own law under the circumstances of the particular case to determine whether a true conflict exists. Third, if the court finds that there is a true conflict, it carefully evaluates and compares the nature and strength of the interest of each jurisdiction in the application of its own law "to determine which state's interest would be more impaired if its policy were subordinated to the policy of the other state" [citation] and then ultimately applies "the law of the state whose interest would be more impaired if its law were not applied."" (McCann v. Foster Wheeler LLC (2010) 48 Cal.4th 68, 87-88.)

B.
Analysis

Defendants

Montello and Union Carbide move for the court to apply Texas law and argue that

Texas has the predominant interest in defining the substant parameters of their liability. The court conducts the three-step analysis articulated in McCann.

1.

Whether California law and Texas law are different

Defendants argue

that Texas law regarding causation in asbestos cases is different from California law. (Motion at p.15.) Plaintiffs do not dispute that California and Texas have different causation standards in asbestos cases.

In the first step of

the choice of law analysis, a court determines whether the laws of the states at issue materially differ. (Washington Mutual Bank, FA v. Superior Court (2001) 24 Cal.4th 906, 919.) If the laws are identical, then the court applies California law. (Id.) If the laws are materially different, then the court proceeds to the second step of the analysis. (Id.)

Here, the parties

agree that as between California and Texas, the applicable law differs.

In California, a

plaintiff must show "some threshold exposure" to asbestos-containing products and must further establish to a "reasonable medical probability" that a particular exposure or series of exposures was a "legal cause to the aggregate dose of asbestos the plaintiff or decedent inhaled or ingested, and hence to the risk of developing asbestos-related cancer." (Rutherford v. Owens-Illinois, Inc. (1997) 16 Cal.4th 953, 982, emphasis in original.) Additionally, a plaintiff "need not prove with medical exactitude that fibers from a particular defendant's asbestos-containing products were those, or among those, that actually began the cellular process of malignancy." (Id. at p.958, emphasis in original.)

In Texas, a

plaintiff in an asbestos case is required to show "Defendant-specific evidence relating to the approximate dose to which the plaintiff was exposed, coupled with evidence that the dose was a substantial factor in causing the asbestos-related disease." (Borg-Warner Corp. v. Flores (Tex. 2007) 232 S.W.3d 765, 773.) Additionally, "proof of mere frequency, regularity, and

proximity is necessary but not sufficient, as it provides none of the quantitative information necessary to support causation under Texas law.” (Id. at p.772.) Texas law requires that plaintiffs present evidence that the dose to which they were exposed to exceed a threshold above which an increased risk of developing an asbestos-related disease occurs. (Id. at p.773 [“As one commentator notes, ‘[i]t is not adequate to simply establish that “some” exposure occurred. Because most chemically induced adverse health effects clearly demonstrate ‘thresholds,’ there must be reasonable evidence that the exposure was of sufficient magnitude to exceed the threshold before a likelihood of “causation” can be inferred.’ [citation]... Given asbestos’s prevalence, therefore, some exposure ‘threshold’ must be demonstrated before a claimant can prove his asbestosis was caused by a particular product.”].)

California and

Texas law on causation in asbestos cases differs because the Texas causation standard is stricter. The Texas standard requires additional, defendant-specific proof beyond frequency, regularity, and proximity such as the approximate dose of asbestos exposure and evidence that this dose exceeded a minimum threshold above which an increased risk of developing asbestos-related disease occurs. California does not require plaintiffs to prove which defendants’ asbestos fibers caused their injuries and requires a lower threshold of reasonable medical probability that the exposure increased the risk of developing asbestos-related disease.

Defendants also

argue that the following California and Texas laws differ:

1.

Texas

Civil Practice and Remedies Code section 33.003 provides that a “liable defendant is generally responsible only for the percentage of damages corresponding to its percentage of responsibility.” (Motion at p.16.)

California’s Civil Code section 1431.2 “makes each defendant severally liable for noneconomic damages in proportion to fault, but it retains joint and several liability for economic damages.” (Id.)

2.

Texas

requires the claimant to prove that the product was defectively designed so as to be unreasonably dangerous, evaluated under a risk-utility analysis, that a

safer alternative design existed, and that the defect was a producing cause of injury. (American Tobacco Co. v. Grinnell (Tex. 1997) 951 S.W.2d 420, 432; Tipte Industries, Inc. v. Gish (Tex. 2009) 286 S.W.3d 306, 311.) California law provides that (1) “a product may be defective if it failed to perform as safely as an ordinary consumer would expect in intended or reasonably foreseeable use, when the product and circumstances are within ordinary experience (Soule v. General Motors Corp. (1994) 8 Cal.4th 548, 566-569)” or (2) a product may be defective if, after the plaintiff makes a prima facie showing that the product’s design proximately caused the injury, the defendant fails to prove that “the design’s benefits outweigh its risks. (Barker v. Lull Engineering Co. (1978) 20 Cal.3d 413, 431-432.).” (Motion at p.18.)

3.

“Texas

permits exemplary damages only on clear and convincing proof of fraud, malice, or gross negligence. (Tex. Civ. Prac. & Rem. Code § 41.003(a)-(b).)” (Motion at p.18.) Additionally, Texas law “caps exemplary damages at the greater of: (1) two times economic damages plus noneconomic damages up to \$750,000; or (2) \$200,000, subject to statutory exceptions. (Id., § 41.008(b)-(c).)” (Id.) California’s “Civil Code § 3294 authorizes punitive damages on clear and convincing proof of oppression, fraud, or malice and imposes corporate authorization or ratification requirements” and imposes no statutory dollar cap for punitive damages. (Id.)

4.

“A

claimant may not recover damages if the claimant’s percentage of responsibility is greater than 50 percent. (Tex. Civ. Prac. & Rem. Code § 33.001.) If responsibility is 50 percent or less, damages are reduced by the claimant’s percentage. (Id., § 33.012(a).)” (Motion at p.19.) In California, “a plaintiff’s negligence reduces recovery in proportion to fault but does not bar recovery even if the plaintiff’s fault exceeds the combined fault of the defendants. (Li v. Yellow Cab Co. (1975) 13 Cal.3d 804, 828-829.)” (Id.)

Plaintiff does not

dispute that California and Texas law on causation in asbestos cases, products liability, apportionment of fault, and exemplary damages are different. The court proceeds to the second step of the choice of law analysis.

2.

Whether California and Texas each have an interest in the application of its own law to this case

Defendants argue that

California and Texas have genuine interests in applying their respective laws to this case because both states chose differing standards and rules for asbestos causation, products liability, apportionment of fault, and exemplary damages. (Motion at p.17.) Defendants argue that applying Texas law over California law would nullify Texas's policies underlying each of the Texas laws at issue. (Id. at pp.16-17.) In opposition, Plaintiffs argue that California has an interest in applying its law to this case because the majority of the conduct giving rise to Defendants' liability took place in California.

In the second step

of the choice of law analysis, a court determines whether there is a "true conflict" of law by determining whether both states have an interest in applying its own law to a particular dispute. (*Frontier Oil Corp. v. RLI Ins. Co.* (2007) 153 Cal.App.4th 1436, 1454.)

For example, where a state has residents who are defendants in a case but no plaintiffs, that state has no interest in applying its own law to limit the recovery of non-resident plaintiffs. (*Hurtado v. Superior Court* (1974) 11 Cal.3d 574, 581 ["Since it is the plaintiffs and not the defendants who are the Mexican residents in this case, Mexico has no interest in applying its limitation of damages—Mexico has no defendant residents to protect and has no interest in denying full recovery to its residents injured by nonMexican defendants."].) In *McCann*, an asbestos case involving a plaintiff residing in California alleging asbestos exposure at an oil refinery in Oklahoma, a trial court concluded that Oklahoma had little or no interest in the application of its law to the case because the defendant was not an Oklahoma company. (*McCann*, *supra*, 48 Cal.4th at p. 93.) The California Supreme Court reversed, finding that Oklahoma did have an interest in having its law applied to the case because the defendant's liability there flowed from the plaintiff's interaction with the defendant's activity in Oklahoma. (Id. at pp. 94-95.)

Here, both

California and Texas have an interest in the application of their laws

regarding asbestos causation, products liability, apportionment of fault, and exemplary damages because the conduct giving rise to Plaintiffs' claims in this action took place both in California and in Texas. Defendants argue that Mr. Terry inhaled the asbestos in the drilling mud supplied and manufactured by Defendants in Texas while Mr. Terry was a resident of Texas. (Motion at p.8.) Defendants provide Mr. Terry's deposition testimony to show that he is a resident of Texas and was a resident of Texas around 1967 and 1968 when he inhaled the drilling mud at issue. (Warfield Decl., Exh. B at 18:21-19:15; 58:16-20, 66:15-22.) Mr. Terry also testified that he had no information or knowledge that he ever worked with products or materials manufactured, supplied, or distributed by Union Carbide. (Id. at 1129:23-1130:3.)

On the other hand, Plaintiffs provide evidence that Union Carbide mined and milled the asbestos in California, that Montello stored the drilling mud made with Union Carbide's asbestos in California, and that Montello shipped the drilling mud from its California warehouse. (Opp. at p.7.) Specifically, Plaintiffs point to Union Carbide's written discovery responses stating the company mined asbestos from a mine in San Bernardino (Stock Decl., Exh. C at pp. 2, 16.) Plaintiffs provide the former deposition testimony of Union Carbide's person most qualified stating Union Carbide supplied Montello with asbestos between 1968 and 1985. (Id., Exh. E at 68:19-25, 69:24-71:11, 74:2-12, 76:25-77:4, 80:9-22, 1114:17-1117:3.) Plaintiffs provide the prior deposition testimony of another person most qualified of Union Carbide, who testified that Montello distributed Union Carbide's asbestos to be used in drilling mud. (Id., Exh. F at 20:7-23:15.) Plaintiffs also provide the prior deposition testimony of Montello's person most qualified stating that, Montello stored its drilling muds in California warehouses (Id., Exh. G at 20:11-21:1, 114:2-24 ["Q:...Did Montello have a facility in Bakersfield, California? A: My recollection is that it may have been shipped to a warehouse...in Bakersfield. This was in...if this date on this first one is correct, it was May of 1982....as I said to you earlier, the oil field in the early '80s was at its high point, so Montello would have tried to maintain warehouses in strategic drilling locations. So it's quite possible that Bakersfield may have been one of them...Well, as I explained to you earlier, the availability of the product on a very timely basis is necessary. So if the mud service company or the headquarter in Houston is working for Shell out at Denver and they're drilling a well in Utah, somebody needs product out of a warehouse quickly to get to the location, and it needs to be strategically located."].)

Plaintiffs also

point to Mr. Terry's responses to special interrogatories, which state that Mr. Terry was exposed to other products containing Union Carbide asbestos in California from his work in the aircraft industry in 1971, 1980, 1980-1983, and 1983-1989. (Opp. at p.6, Stock Decl., Exh. A, response numbers 3, 17, 18.)

Mr. Terry is a

Texas resident. Texas has an interest in applying its laws to its own residents. Additionally, the asbestos exposure which Mr. Terry alleges caused his injuries took place, at least in part, in Texas. Although the law of the place where an injury took place is not necessarily the law applicable for every tort action, "the situs of the injury remains a relevant consideration." (McCann, supra, 48 Cal.4th at p.93.) Texas has an interest in applying its law to regulate the injury-producing conduct that took place in its borders. Therefore, Texas has an interest in applying its law to this case.

Union Carbide

conducted business in California giving rise to Mr. Terry's injuries. Plaintiffs provide evidence that Union Carbide mined, milled, and distributed its asbestos from California. (Stock Decl., Exhs. C, E, F.) Additionally, Plaintiffs present evidence that Union Carbide was Montello's asbestos supplier beginning in 1968, the same year Mr. Terry alleges he inhaled the drilling mud at issue. (Id., Exh. E at 68:19-25, 69:24-71:11, 74:2-12, 76:25-77:4, 80:9-22, 1114:17-1117:3.) Thus, Union Carbide engaged in conduct in California that allegedly caused Mr. Terry's injuries. California has an interest in regulating this conduct because it took place within its borders. Additionally, as Plaintiffs point out in opposition, Mr. Terry also alleges that he was also exposed to Union Carbide asbestos in California when he worked in the aircraft industry in the 1970s and 1980s. (Stock Decl., Exh. A, response numbers 3, 17, 18.) California likewise has an interest in regulating the conduct causing these exposures because they took place in California and arose from Union Carbide's operations in California. Therefore, California has an interest in applying its law to this case as to Union Carbide.

As for Montello,

Plaintiffs provide evidence that Montello distributed the drilling mud at issue from a warehouse in Bakersfield, California. (Stock Decl., Exh. G at 20:11-21:1, 114:2-24.) However, the testimony Plaintiffs provided from the

prior deposition of Montello's person most qualified concerns Montello's conduct in the 1980s. There is no evidence that Montello also maintained this warehouse in 1967 and 1968 when Mr. Terry was exposed to the drilling mud at issue. Thus, there is no evidence that Montello engaged in relevant conduct in California that California had an interest in regulating. Accordingly, California has no interest in applying its law to Plaintiffs' claims against Montello. Montello's motion to apply Texas law can be decided at the second step in the analysis. Montello's motion to apply Texas law is granted.

But as to Union

Carbide, as noted, both California and Texas have legitimate interests in applying their laws to Plaintiffs' claims. The court proceeds to the third step of the choice of law determination as to Union Carbide.

3.

Whether California or Texas would be more impaired if its law were not applied

The third step of

the governmental interest analysis requires the court to weigh the two jurisdictions' interests in the matter. In this step, "the court determines which jurisdiction has a greater interest in the application of its own law to the issue or, conversely, which jurisdiction's interest would be more significantly impaired if its law were not applied." (Frontier, supra, 153 Cal.App.4th at p.1455.) Each state generally has a predominant interest in regulating conduct that occurs within its borders and "in being able to assure individuals and commercial entities operating within its territory that applicable limitations on liability set forth in the jurisdiction's law will be available to those individuals and businesses in the event they are faced with litigation in the future." (McCann v. Foster Wheeler LLC (2010) 48 Cal.4th 68, 98.) The court does not weigh the states' conflicting governmental interests to determine the better or worthier social policy on any issue but decides "which jurisdiction should be allocated the predominating lawmaking power under the circumstances of the present case." (Id. at p.97.)

Here,

Defendants argue that Texas law would be more impaired if its laws are not applied because "applying California law would subject this Texas exposure to liability and damages rules Texas deliberately chose not to apply." (Motion at p.13.) In opposition, Plaintiffs argue that "California has a substantial

interest in the standards of conduct governing the mining, marketing, and distribution of asbestos within its borders, and in whether the enterprises that moved that mineral into commerce — including an out-of-state distributor that bought California fiber, took delivery from a California plant, and warehoused the finished product here — may be held to account. Texas's competing interest, on this record, is that a customer's employee opened a bag within its borders. Defendants have offered no evidence to make it more. As between the two, the interest that would be more impaired by subordination is California's." (Opp. at p.15.)

California's

interests would be more impaired if its law were not applied to Plaintiffs' claims against Union Carbide. As discussed, Plaintiffs' claims against Union Carbide arise from its activities mining, milling, and distributing asbestos in California. Although the exposure associated with the drilling mud at issue took place in Texas, the majority of the conduct Union Carbide engaged in took place in California from the late 1970s through the 1980s. There is no evidence that Union Carbide manufactured or shipped the drilling mud to Texas or that it did business in Texas. However, there is evidence that it had significant operations in California supplying entities like Montello with asbestos fiber. Additionally, Plaintiffs allege that Mr. Terry was exposed to Union Carbide's asbestos in other products in California when he worked in the aircraft industry in 1971, 1980, 1980-1983, and 1983-1989.

These

facts weigh in favor of California law applying to Union Carbide. Mr. Terry was also exposed to Union Carbide asbestos in California. While Plaintiff was also exposed to Union Carbide asbestos in Texas, that exposure took place only between 1967 and 1968. Mr. Terry was allegedly exposed to Union Carbide asbestos-containing products in California for a significantly longer time. California would be more impaired if its laws were not applied to Plaintiffs' claims against Union Carbide because California is interested in significantly more California-based conduct that Union Carbide was responsible for. Although Defendants argue that the aircraft fiber theory was not disclosed in discovery when they made this motion, Plaintiffs now assert that Mr. Terry was exposed to Union Carbide asbestos through his work with aircraft. Accordingly, the motion to apply Texas law is denied as to Union Carbide.

III.

Conclusion

Defendants' motion to apply Texas law is granted as to Montello, Inc. The motion is denied as to Union Carbide Corporation; California law will apply.